

or selling of built-up spaces or giving it on long-term lease to any strategic investor. The non-processing areas should be looked at as an instrument to raise funds for the processing areas," says Jain.

B.K. Subaiah, chief operating officer of Mahindra and Mahindra, which is executing mega projects like the \$1-billion Mahindra World City in Chennai and the \$2-billion Mahindra World City at Jaipur, feels that a large number of applications in smaller SEZs would have resulted in a supply glut had all of them fructified. However, he agrees there do exist certain factors like land that considerably slow down the pace of development. "Land acquisition is among the most challenging issues that puts a strain on the



“ All got hit in the recession. We were no exception. We have put on hold 11 SEZ projects and decided to focus on ongoing projects. ”

PRADEEP JAIN, Chairman, Parsvnath Developers

Government is talking about a new rehabilitation package for land acquisition related to large projects. It is being debated since 2008. Meanwhile, land costs are soaring and social and political oppositions have been wrecking project plans. Other procedural issues like how much land can be exploited commercially and what can be reserved for what purpose dog those trying to complete projects.

The other big reason for a pullout

which a draft paper has been circulated in the public domain. Those tax concessions specifically meant for SEZs should continue," says Sharma.

Though India's SEZ policy was inspired by global examples of government-industry efforts to cut costs and multiply forex earnings, in practice the compromises made to adapt the model to Indian situations have undermined its viability. The size of an SEZ is capped at 50 sq km, whereas the additional demand for urban space to

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(LEFT) THE RELIANCE SEZ OFFICE IN GURGAON; FARMERS PROTEST LAND ACQUISITION IN PUNE

Denotified SEZs

Essar SEZ, Engineering Hazira (Gujarat) 267 hectares	DLF, IT/ITES Gandhinagar 10.12 hectares
Royal Palms India IT/ITES Goregaon (Mumbai) 26 acres	DLF, IT/ITES Sonepat (Haryana) 10.12 hectares
Lahari Infra, Services Kondakal (Andhra Pradesh) 220 acres	DLF, IT/ITES Kolkata 10.48 hectares
Maytas SEZ, Biotech Pochampalli (Andhra Pradesh) 14.16 hectares	Bhubaneswar 10.23 hectares
	Shivaji Marg SEZ, IT/ITES Shivaji Marg (Delhi) 10.02 hectares

developer, affecting timelines, causing massive delays and jeopardising all project plans," says Subaiah. He is not exaggerating. The problems in acquiring land are making developers re-think their SEZ plans. Reliance Industries, for instance, planned to create two SEZs in Haryana and Maharashtra totalling 6,000 hectares. In both states, the company has faced huge political resistance, led by NGOs in Maharashtra and political parties in Haryana. Indeed, West Bengal, which looked at SEZs as a way to industrialise the state, is the worst hit. Nandigram has now become synonymous with failed SEZs and politics. The

from the SEZs is the proposed direct tax code. Says Hitendra Mehta, who spearheads Assocham's Committee on SEZ: "The draft direct tax code that will lead to an overhaul of the Income Tax Act has created uncertainty among developers. It could take away exemptions and sops like income tax holiday for SEZs, deny them fair play and hurt export competitiveness." Concerned over withdrawal from SEZs, Commerce and Industry Minister Anand Sharma promises to ensure that the sops continue. "We have written to the Finance Ministry to retain all the fiscal incentives for the SEZs in the new direct tax code, for

accommodate 200 million-plus new urbanites would run to tens of thousands of square kilometres. Although developers want themselves out of such projects, director-general of the Export Promotion Council for EoUs and SEZs, L.B. Singhal feels the concept of tax-free enclaves is not passe yet. "People have been expressing doubt... but the number of applications for denotification is minuscule," Singhal says.

There is no doubt that the SEZs have a lot of advantages, but world class infrastructure will reap benefits only when the Government gets its act right anytime soon. ■